fiscal challenges and just when foreigners really want reserve protection, it might not be forthcoming.[46]

Summary

The flipping order of our three countries in each of these considerations showcases the problem of how safe assets embody so many factor risks. Market weights capture none of these effects; some investors prefer safety, others most value liquidity, and still others want investment opportunities from rosy macro fundamentals.

Figure 14.10 compares the market weights of the United States, the Euro area, and Japan, in Panels A to C, respectively, using the Citi Yieldbook database. I overlay Currency Composition of Official Foreign Exchange Reserves weights, which are the weights of central banks and reserve managers reporting to the IMF, along with gross domestic product (GDP) weights of each country adjusted for

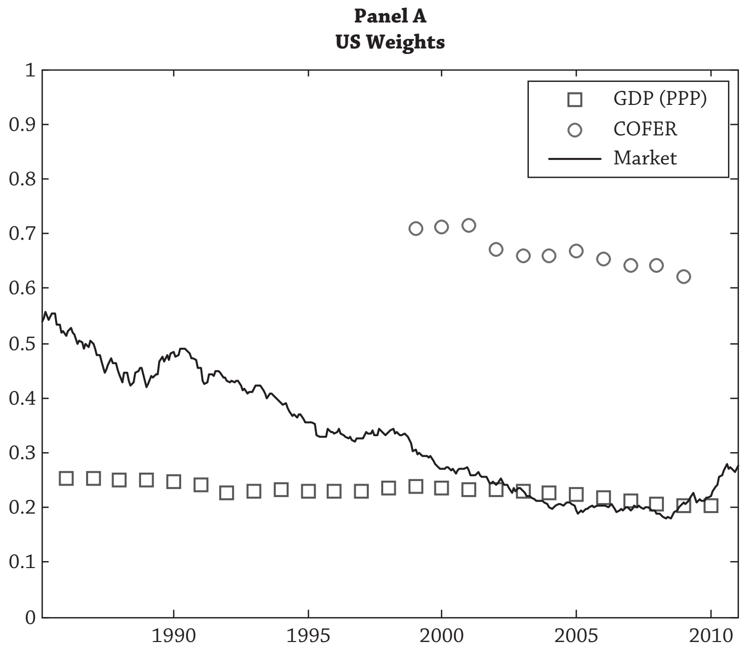

Figure 14.10

[46] This is a new incarnation of the Triffin dilemma, named after the economist Robert Triffin. Under Bretton Woods, major currencies were backed by gold, and the U.S. dollar had the same role as gold. Triffin argued this was unstable because the supply of safe assets would become insufficient, or foreign dollar holdings would be too large for the United States to support at the statutory peg. Triffin was prescient and Bretton Woods collapsed in the early 1970s. See Obstfeld (2011).